

How to Use a Credit Card Responsibly and Effectively

As we have learned, paying interest can be the worst. So why would we want to use a credit card if we have to pay interest on it? Well, you don't always have to pay interest. If you pay off your entire balance on or before every due date, you will never pay interest. To understand how this works, we need to look at the **billing cycle**.

Let's say you have been approved for your first-ever credit card, and you receive the activated card on June 1. Each billing cycle is between 28 and 31 days, usually right around 30 days. Let's imagine that your billing cycle is 30 days; this means that your first billing cycle begins on June 1 and ends on June 30. Let's also pretend that during those 30 days, you use your card for \$500 worth of purchases. A few days after the billing cycle ends, you will receive your credit card statement, which will tell you how much money you have spent between June 1 and June 30 (\$500, in this example), as well as the date your payment is due. The due date will be between 21 and 25 days after the billing cycle ends; we will say July 23. The time between the end of your billing cycle and the due date of the bill is called your **grace period**. In this example, the grace period would be from June 30 to July 23.

If you pay off all of that \$500 that you owe on or before the due date of July 23, you will not pay any interest on it. If you only pay a portion of that \$500, you will have to pay interest on the remaining amount. If you only pay \$100, you will have to pay interest on the remaining \$400; if you only pay \$200, you will have to pay interest on the remaining \$300, and so on.